US SEMICONDUCTOR SECTOR ANALYSIS

Performance, Valuations, Themes & Investment Implications

Report Date: March 4, 2026

Data Sources: Bigdata.com MCP | FMP | RavenPack | Wall St. Rank | ESG Book

Executive Summary

The US semiconductor sector is experiencing a historic growth cycle driven predominantly by artificial intelligence infrastructure investment. Global semiconductor revenues reached a record $791.7 billion in 2025, up 25.6% year-over-year, and the industry is on track to surpass $1 trillion in sales in 2026[1]. AI-related demand is the primary catalyst, with hyperscale data center capital expenditure from Alphabet, Microsoft, Amazon, and Meta projected to total at least $630 billion in 2026[2]. The Semiconductor Industry Association projects global semiconductor sales approaching $1 trillion in 2026, implying roughly 26% industry growth[3].

However, the growth is highly concentrated. Without contributions from memory and logic ICs, overall semiconductor revenue growth would drop from approximately 30.7% to only 8%[4]. The sector also faces headwinds from a 25% tariff on select advanced semiconductor imports imposed in January 2026 under Section 232[5], elevated valuations, and growing export control complexity around AI-focused chips. Despite these challenges, robust demand for GPU accelerators, custom AI silicon, high-bandwidth memory, and semiconductor equipment positions the sector for continued outperformance.

Sector Performance Overview

Key Company Metrics

The following table summarizes the latest financial metrics for three of the sector's most prominent companies, drawn from their most recent quarterly earnings filings and real-time market data as of March 4, 2026.

Metric	NVIDIA (NVDA)	Broadcom (AVGO)	AMD
Market Cap	$4,449B	$1,506B	$329B
Last Price	$183.04	$317.53	$202.07
TTM Revenue	$215.9B	$63.9B	$34.6B
Gross Margin	71.1%	67.8%	49.5%
Net Margin	55.6%	36.2%	12.5%
P/E Ratio	37.1x	65.0x	76.0x
EV/EBITDA	30.8x	45.3x	45.1x
1Y Return	+57.8%	+69.4%	+100.6%
Analyst Consensus	Buy (58B/16H/3S)	Buy (52B/5H/0S)	Buy (47B/22H/0S)
Price Target	$277 (med)	$450 (med)	$300 (med)

Source: FMP, RavenPack via Bigdata.com MCP. Data as of March 4, 2026.

Latest Earnings Highlights

NVIDIA (Q4 FY2026): Revenue of $68.1B beat estimates of $66.1B by 3.0%. EPS of $1.62 surpassed the $1.54 consensus by 5.2%. Data Center revenue surged to $62.3B, comprising

91% of total revenue. The company guided Q1 FY2027 revenue to approximately $78.4B at the midpoint. NVIDIA's next earnings are scheduled for May 20, 2026[6].

Broadcom (Q1 FY2026): Reported today, March 4, 2026, with revenue of $18.0B beating the $17.5B estimate by 3.1%. EPS of $1.95 topped the $1.87 consensus by 4.3%. AI semiconductor revenue of $8.4B grew 106% year-over-year, with management guiding Q2 AI semiconductor revenue to $10.7B[7].

AMD (Q4 2025): Revenue of $10.3B beat the $9.7B consensus by 6.2%. EPS of $1.53 exceeded estimates of $1.32 by 15.9%. Data Center revenue reached $5.4B, and the company secured major AI chip deals with Oracle, OpenAI, and Meta Platforms[8].

Key Themes and Drivers

Tailwinds

1. AI Infrastructure Spending Boom. Global AI spending is estimated to reach approximately $2.5 trillion in 2026 according to Gartner[9]. The four major hyperscalers plan combined capital expenditure exceeding $630 billion, with the vast majority directed toward data centers, GPUs, custom accelerators, and networking equipment[2]. TSMC has earmarked up to $56 billion in capex for 2026 and forecasts revenue growth near 30%[10]. Applied Materials projects 20% sales growth in calendar year 2026, driven by AI demand, with wafer fab equipment market growth now expected at 23% and 27% in 2026-2027[11].

2. CHIPS Act and Domestic Manufacturing. Companies have committed more than $500 billion in private sector investments to bolster US chipmaking, expected to support over 500,000 jobs and help triple domestic capacity by 2032[12]. Government support through the CHIPS and Science Act is reshaping the industry by encouraging domestic manufacturing and reducing reliance on overseas supply chains[13].

3. Memory and Custom Silicon Expansion. High-bandwidth memory (HBM) demand is surging as AI workloads require faster data access. Broadcom's custom AI accelerator business is accelerating, with AI revenue growing 106% year-over-year to $8.4B in Q1 FY2026[7]. Semiconductor companies are accelerating development of advanced-node ASICs at 3nm and 5nm tailored for AI accelerators and HPC workloads[14].

Headwinds

1. Tariffs and Trade Policy. In January 2026, a 25% tariff was imposed on select advanced computing chips under Section 232 of the Trade Expansion Act, finding that foreign semiconductor imports threaten US economic and national security[5]. The tariff has disrupted global supply chains, raising production costs and extending lead times[15]. Additional semiconductor tariffs could still be forthcoming according to the White House[16].

2. Elevated Valuations and Rotation Risk. The US semiconductor industry trades at an average P/E of approximately 43.8x, with individual names like AMD at 76x and Broadcom at 65x[17]. Investors are increasingly concerned about the sustainability of growth, and there are signs of rotation out of semiconductor stocks as supply chains stabilize and inventory levels rise[18].

3. Export Controls and Geopolitical Risk. Increasingly muscular government intervention across the supply chain, from rare earths and manufacturing machinery to finished chips, has given rise to disruption and uncertainty. Export control measures are no longer confined to the most advanced AI-focused chips, with policies becoming inconsistent and difficult to predict[19].

4. Concentration Risk in AI Demand. Growth is heavily dependent on a small number of hyperscale customers. Questions are emerging about how long the expansion will last given that stellar growth is centered on a limited number of customers in a rapidly growing but uneven

AI infrastructure market[20]. Inflation in the US continues to be a concern that could temper growth[4].

Revenue Segmentation Analysis

NVIDIA Revenue by Segment (Q4 FY2026)

Segment	Revenue	% of Total
Data Center	$62.31B	91.4%
Gaming	$3.73B	5.5%
Professional Visualization	$1.32B	1.9%
Automotive	$604M	0.9%
OEM and Other	$161M	0.2%

Source: FMP via Bigdata.com MCP.

Broadcom Revenue by Segment (Q4 FY2025)

Segment	Revenue	% of Total
Semiconductor Solutions	$11.07B	61.4%
Infrastructure Software	$6.94B	38.6%

Source: FMP via Bigdata.com MCP.

AMD Revenue by Segment (Q4 2025)

Segment	Revenue	% of Total
Data Center	$5.38B	52.4%
Client and Gaming	$3.94B	38.4%
Embedded	$950M	9.2%

Source: FMP via Bigdata.com MCP.

Institutional Flow and Sentiment

Institutional fund flows in Q4 2025 showed net positive buying across all three major names. NVIDIA saw net capital inflows of $93.9B with 599 new fund positions opened versus 105 closed, a 470% ratio of new entrants to exits. Broadcom experienced net inflows of $24.8B with 559 new positions. AMD recorded $11.6B in net inflows with 595 new positions [21].

Real-time sentiment analysis from RavenPack shows slightly positive sentiment for NVIDIA (+0.150) with elevated media coverage of 2,562 observations, positive sentiment for Broadcom (+0.275) boosted by today's earnings release, and slightly positive sentiment for AMD (+0.095) [22].

ESG Snapshot

Company	ESG Score	Env.	Social	Gov.
NVIDIA	67.5 (Leader)	71.3	70.3	52.2

AMD	69.5 (Leader)	71.1	65.4	71.7
Broadcom	50.7 (Average)	49.5	51.7	52.7

Source: ESG Book via Bigdata.com MCP. Scores on 0-100 scale.

Workforce and Hiring Trends

Hiring activity across the sector signals continued expansion. NVIDIA posted 2,161 average job openings in February 2026, up 8.0% month-over-month and 13.8% on a trailing twelve-month basis. AMD showed even stronger hiring momentum with 1,579 average postings in February, up 10.7% MoM and 44.9% TTM. Broadcom posted 448 average openings, up 7.7% MoM and 25.2% QoQ[23]. These trends suggest that the leading semiconductor firms are investing in talent to support AI-related growth and capacity expansion.

Investment Implications

Positioning: Overweight

The US semiconductor sector warrants an overweight positioning given the structural shift toward AI infrastructure spending, with over $630 billion in hyperscaler capex planned for 2026 and an industry on track to cross the $1 trillion revenue milestone. However, investors should be mindful of concentration risk and elevated valuations.

Top Considerations

- **NVIDIA:** Dominant AI GPU leader with 91% data center revenue mix, 75% gross margins, and $36.2B in quarterly operating cash flow. Forward P/E of ~26x on FY2027 estimates offers relative value versus growth trajectory. Analyst median target of $275 implies ~50% upside.
- **Broadcom:** Custom AI accelerator revenue accelerating at 106% YoY with visibility into multi-year hyperscaler engagement. Infrastructure software provides recurring revenue ballast. Median target of $450 implies ~42% upside.
- **AMD:** Diversified compute portfolio gaining data center share with EPYC CPUs and Instinct GPUs. Major AI deals with Oracle, OpenAI, and Meta provide revenue visibility. Hiring surge of +44.9% TTM signals expanding capacity. Median target of $300 implies ~48% upside.

Key Risks to Monitor

- Escalation of semiconductor tariffs beyond the current 25% on advanced chips
- Deceleration in hyperscaler AI capex spending or demand concentration risk
- Further tightening of export controls on advanced semiconductors
- Valuation compression if growth expectations are not met

Sources

#	Source	Date	Publication
1	Semiconductor industry on track to hit $1 trillion in sales in 2026	Feb 7, 2026	Yahoo! Finance / SIA
2	Nvidia forecasts upbeat quarterly sales as AI boosts chip demand	Feb 25, 2026	Yahoo! Finance
3	Tech Boom & Defense Backlogs: 2 Sectors Poised to Outperform	Feb 13, 2026	Nasdaq
4	AI Drives Semiconductor Revenues Past $1 Trillion (Omdia)	Jan 15, 2026	Business Wire
5	Trump Orders 25% Tariff On Advanced Chips	Jan 15, 2026	AOL / Section 232
6	NVIDIA Q4 FY2026 Earnings Release	Feb 25, 2026	FMP via Bigdata.com
7	Broadcom Q1 FY2026 Financial Results	Mar 4, 2026	Associated Press
8	AMD Q4 2025 Earnings Release	Feb 4, 2026	FMP via Bigdata.com
9	Gartner Says AI Spending Will Hit $2.5 Trillion in 2026	Mar 4, 2026	Nasdaq
10	Global Earnings Show Shift From US as S&P 500 Slumped	Mar 1, 2026	Yahoo! Finance
11	Applied Materials expects 20% growth in 2026	Feb 23, 2026	Yahoo! Finance
12	5 manufacturing trends to watch in 2026	Jan 8, 2026	Yahoo! Finance / SIA
13	Semiconductor Market Size Forecasted to Reach USD 1.27T	Feb 12, 2026	GlobeNewswire
14	ASIC Market Growth: AI Chips, Electronics	Feb 27, 2026	EIN Presswire
15	Semiconductor and Related Devices Market Report 2026	Mar 2, 2026	Research and Markets
16	A Mixed Bag of Chips: Import and Export Changes	Jan 26, 2026	JD Supra
17	AMD Valuation Analysis: P/E of 72.9x vs Industry 43.8x	Mar 4, 2026	Yahoo! Finance
18	Why Investors Are Quietly Rotating Out Of Semis	Feb 17, 2026	Benzinga
19	At a Crossroads: Legal Risk in Semiconductor Supply Chains	Jan 28, 2026	Lexology
20	Buy Broadcom or Nvidia? Concentration risk analysis	Mar 3, 2026	Nasdaq
21	Fund Trends: NVDA, AVGO, AMD institutional flows Q4 2025	Q4 2025	Wall St. Rank via Bigdata.com
22	Real-time Sentiment Analysis	Mar 4, 2026	RavenPack via Bigdata.com

23	Hiring Trends: NVDA, AMD, AVGO workforce signals	Mar 4, 2026	RavenPack via Bigdata.com

Powered by Bigdata.com
This report is for informational purposes only and does not constitute investment advice.